

vengeanceaiUSCMODEL8 — Assumptions List

Ticker: FICO. Plain list only (no charts). Each item includes What / How / Why / Source. Download URL: https://raw.githubusercontent.com/vengeanceaiUSC/Rainmaker/cursor/vengeanceaiusmodel8-d3ac/FICO/output/MODEL8_FICO_ASSUMPTIONS_LIST.pdf

Exit context: BASE 17.5x EV/EBITDA (peer median ~18.1x; bull 25.0x; bear 12.8x). WACC ≈ 9.24%. NWC = 2.5% of sales.

A. Three-Statement Forecast Assumptions

Row 7: Revenue Growth

What it is: Year-over-year % increase in revenue for each forecast year.

How set in model: Yellow POLICY input: 27% / 16% / 13% / 10% / 7%.

Why this choice: Y1 ≈ company FY2026 revenue guidance (~\$2.53B / FY25 \$1.991B – 1 ≈ 27%). Then fade toward terminal g=3% (not straight-lined). This is the main forward-looking judgment; it drives Rev → GP → EBT → Net Earnings → CF.

Source: SEC EX-99.1 Q3 FY2026 — updated FY2026 revenue guidance \$2.53B

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000031/exhibit991erq32026.htm>

Row 8: COGS % of Revenue

What it is: Cost of revenues as a % of sales (gross margin = 1 – this).

How set in model: Excel equation: I25/I24 (FY25 COGS ÷ FY25 Revenue) held flat.

Why this choice: Locks in latest reported cost structure (~17.8%). Scores mix is high-margin; holding FY25 is conservative vs further mix shift.

Source: SEC 10-K FY2025 — Cost of revenues / Total revenues

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 9: SG&A; % of Revenue

What it is: Operating opex (SG&A;) as % of sales.

How set in model: Equation: MAX(15%, (I28 – 10,922)/I24 – 75bps × year). Strips FY25 restructuring; then –0.75% of sales each year.

Why this choice: MODEL8: restore software operating leverage. Floor 15%; grind –75 bps/yr so SG&A; can scale toward mid-teens as revenue expands (not stuck ~24–25%).

Source: SEC 10-K FY2025 — SG&A; + restructuring note

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 10: R&D; % of Revenue

What it is: Research & development expense as % of sales (IS label: R&D;, not Rent).

How set in model: Excel equation: I29/I24 held flat (~9.46%).

Why this choice: FICO reinvests steadily in analytics/software. Flat % grows dollars with revenue.

Source: SEC 10-K FY2025 — Research and development

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 11: D&A; % of Avg PP&E;

What it is: Depreciation rate from FY25; dollars applied to average PP&E; so new CapEx is depreciated.

How set in model: Rate = I30/I44 (FY25 DA ÷ FY25 PPE). Forecast DA\$ = ((Open + Open+CapEx)/2) × rate.

Why this choice: MODEL6 fix: prior model depreciated only opening PP&E;, so ~\$96M of forecast CapEx never hit D&A;/FCFF add-back. Average PP&E; (Open ↔ pre-DA close) depreciates additions in the year they are placed in service.

Source: SEC 10-K FY2025 — D&A; and PP&E;

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 12: Interest % of Debt Open

What it is: Interest expense as % of opening debt balance.

How set in model: Excel equation: $I101/I98$ (FY25 interest ÷ FY25 opening debt in schedule).

Why this choice: Approximates average coupon / cost of debt on the book. Debt held flat (issuance = 0), so interest stays linked to that stock.

Source: SEC 10-K FY2025 — Interest expense; see also 8-K 6.250% notes

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 13: Tax Rate (% of EBT)

What it is: Effective book tax rate applied to forecast EBT.

How set in model: Excel equation: $I35/I33$ (FY25 tax ÷ simplified FY25 EBT in this template).

Why this choice: Uses reported effective rate (~19% on template EBT; ~18.8% on 10-K EBT). UFCF in DCF also uses unlevered EBIT × t.

Source: SEC 10-K FY2025 — Provision for income taxes / Income before taxes

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 15: Operating NWC % of Revenue

What it is: Single consolidated operating NWC ratio: $NWC_t = Revenue_t \times NWC\%$.

How set in model: Yellow POLICY input: flat 2.5% of revenue every forecast year.

Why this choice: MODEL8: unify AR/Deferred into one NWC% (ends ~\$297M double-count drain). Flat 2.5% = asset-light software; AR plugs to NWC. Y1 ΔNWC uses hist NWC as prior so the AR step-down releases cash and the BS stays balanced.

Source: SEC companyfacts XBRL — AR / AP / DeferredRevenueCurrent

Source URL: <https://data.sec.gov/api/xbrl/companyfacts/CIK0000814547.json>

Row 16: Inventory (Days)

What it is: Inventory days ($Inv = COGS \times days/365$).

How set in model: Hard zero — FICO is software / scores; inventory is immaterial.

Why this choice: No inventory cycle to fund.

Source: SEC 10-K FY2025 — Inventory ≈ \$0

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 17: Accounts Payable (Days)

What it is: AP days used to project AP = $COGS \times days/365$.

How set in model: Excel equation: $ROUND(I48/I25 \times 365, 0)$ from FY25.

Why this choice: Payable timing offsets AR in operating NWC.

Source: SEC 10-K FY2025 — Accounts payable

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 18: CapEx % of Revenue

What it is: Capital investment (PPE + capitalized software) as % of sales.

How set in model: Equation: fade from $I68/I24$ toward 1.0% steady. MODEL8 weights 40%→20%→10%→0%→0% on the peak (fast fade).

Why this choice: MODEL8 checklist: prior path left CapEx ■ D&A; (~\$80M cumulative drag). Fade to maintenance ~1% so CapEx ≈ D&A; by Y5 (terminal cash conversion).

Source: SEC 10-K FY2025 — PP&E; purchases + capitalized software

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

Row 19: Debt Issuance (Repayment)

What it is: New borrowing (+) or repayment (−) in the forecast.

How set in model: POLICY input = 0 every year.

Why this choice: Hold debt stock flat at FY25 level for the explicit period; interest follows. Net debt for DCF equity bridge uses the later 10-Q amount separately.

Source: SEC 10-Q Q3 FY2026 — debt stock (financing excluded from FCFF)

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000030/fico-20260630.htm>

Row 20: Equity Issued (Repaid)

What it is: New equity issued (+) or buybacks (–) in the forecast BS/CF.

How set in model: POLICY input = 0 every year.

Why this choice: Buybacks are real historically but are financing — excluded from FCFF. Share count for \$/share is the spot shares outstanding assumption.

Source: Damodaran FCFF framework — financing (buybacks) not in FCFF

Source URL: https://pages.stern.nyu.edu/~adamodar/New_Home_Page/datafile/histfcff.html

B. DCF Assumptions

DCF-D5: Tax Rate (unlevered)

What it is: Effective tax rate used for FCFF NOPAT and after-tax cost of debt.

How set in model: Linked live to 3-Statement!J13 (= FY25 tax / simplified EBT).

Why this choice: DCF must use the same t as the 3-statement forecast.

Source: SEC 10-K FY2025 — via 3S J13

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454725000030/fico-20250930.htm>

DCF-D6: WACC (discount rate)

What it is: Weighted average cost of capital for XNPV of FCFF + TV.

How set in model: CAPM live formula $\approx 9.24\%$ ($W_e \times K_e + W_d \times R_d(1-t)$).

Why this choice: Market-consistent discount rate from R_f , β , ERP, and note coupon.

Source: FRED DGS10 / Damodaran ERP / Yahoo β / 8-K 6.250% notes

Source URL: <https://fred.stlouisfed.org/series/DGS10>

DCF-D7: Perpetual Growth (g)

What it is: Long-run growth used only in the Gordon TV cross-check.

How set in model: POLICY input = 3.0%.

Why this choice: Long-run nominal GDP-like floor; primary TV uses exit multiple.

Source: Damodaran long-run growth framing

Source URL: https://pages.stern.nyu.edu/adamodar/New_Home_Page/datafile/histimpl.html

DCF-D8: Exit EV/EBITDA (BASE)

What it is: Terminal enterprise value multiple on Year-5 EBITDA.

How set in model: POLICY BASE 17.5x; Bull 25.0x; Bear 12.8x. Peer set: EFX 13.88x, VRSK 17.42x, SPGI 18.11x, MCO 22.20x, MSCI 23.74x. Median $\approx 18.11x$.

Why this choice: Base 17.5x is near the public peer median (18.1x), between Gordon-implied bear and spot/bull.

Source: VCP Scanner FICO peer EV/EBITDA comps

Source URL: <https://vcpscanner.com/valuation/fico/relative>

DCF-D13/D14: Debt & Cash (equity bridge)

What it is: Gross debt and cash+marketable securities for EV $\rightarrow$ equity.

How set in model: 10-Q Q3 FY2026 totals (more current than FY25 3S balances).

Why this choice: Bridge should reflect the latest capital structure; 3S FY25 shown as reference.

Source: SEC 10-Q Q3 FY2026

Source URL: <https://www.sec.gov/Archives/edgar/data/814547/000081454726000030/fico-20260630.htm>

This PDF is the canonical printable assumptions list for the workbook. Filings and data sources remain clickable in Excel columns U/V; column W on every assumption row links back to this file.